Trader Performance vs Market Sentiment

Key Insights

1. Extreme Greed → Highest Profitable (most median daily net PnL per trader)

Traders as a whole are most profitable when market euphoria peaks — high greed creates the momentum and volatility that the average trader benefits from.

(Refer to the Image - > Sentiment vs net PnL.png)

2. Mean Win Rate is similar across all sentiments.

How often traders win has nothing to do with market mood — win rate is a trader trait, not a market condition.

(Refer to the Image -> Mean Win Rate by Sentiment.png)

3. Long bias on Extreme Fear, Short bias on Extreme Greed

On average, traders behave like contrarians at the extremes — collectively buying into panic and selling into euphoria, suggesting the crowd instinctively fades sentiment rather than chasing it.

(Refer to the Image -> Long-Short Bias by Sentiment.png)

4. Top earns in all condition & Bottom burns in all condition

Sentiment doesn't create performance — it reveals it. Extreme conditions amplify the skill gap: top traders thrive most when fear peaks, bottom traders suffer most at exactly the same moment.

(Refer to the Image -> Top 10 vs Bottom 10 Traders - PnL by Sentiment.png)

-> Traders are most profitable on Extreme Greed days, yet they're net short on those same days — meaning they're profiting by correctly fading the euphoria, not by riding it. That's a sign of collective discipline at the extremes.

Strategy Recommendations

Strategy 1 — "Extreme Fear = Capital Preservation Rule for Weak Traders"

> **Rule:** Bottom-performing traders should cut leverage by at least 50% and reduce position sizes on Extreme Fear days.

Why it's justified by your data:

- Bottom traders had median net PnL of -3.83 on Extreme Fear — 10x worse than any other condition
- Top traders thrived on the same days → the problem isn't the market, it's the trader's response to panic
- Extreme Fear amplifies bad decision-making — revenge trading, holding losers, oversizing
- Reducing leverage caps the damage on their worst days

Strategy 2 — "Neutral Days = Reduce Activity"

> **Rule:** On Neutral sentiment days, traders should reduce trade frequency and avoid initiating large positions.

Why it's justified:

- Neutral days had the **lowest median PnL across all traders** — even top traders earned least on these days
- Low sentiment extremes = low volatility = no strong directional momentum to exploit
- More trades on directionless days = more fees eating into already thin returns
- Your data showed trade count vs PnL — activity without volatility is just **paying fees for nothing**